

RESOLUTION NO. 2026 – 088

**A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF SAN CARLOS
ORDERING THE SUBMISSION TO THE QUALIFIED ELECTORS OF THE CITY OF SAN
CARLOS A MEASURE RELATING TO A LOCAL TRANSACTION AND USE TAX AT THE
GENEARL MUNICIPAL ELECTION TO BE HELD ON TUESDAY, NOVEMBER 3, 2026
AS CALLED BY RESOLUTION 2026-062.**

WHEREAS, the City of San Carlos ("City") is a local government that prides itself on providing quality services to its residents, businesses and visitors; and

WHEREAS, the City responsibly manages public funds and maintains healthy reserves; and

WHEREAS, rising costs for goods, services, and maintenance are placing increasing pressure on the City's budget; and

WHEREAS, without a new local funding source, sustaining current service levels could be challenging; and

WHEREAS, reserves are meant for emergencies and one-time needs, not ongoing services, and continued reliance on them could eventually result in future service reductions; and

WHEREAS, the City works to maintain 87 miles of streets, 105 miles of sewer pipes, 172.5 acres spanning 17 parks and open spaces, 1,754 storm drains, and responds to 14,726 public safety calls per year; and

WHEREAS, the City has identified approximately \$200 million in unfunded capital improvement projects over the next few years that are still to be addressed; and

WHEREAS, the City regularly invests in street improvements, aging infrastructure, and more; and

WHEREAS, the unfunded need is too large to handle in our normal operating budget but the longer we wait to fix our streets, infrastructure, and facilities, the more expensive it will become; and

WHEREAS, only a small share of the City's sales tax goes to the City's General Fund; and

WHEREAS, a General Municipal Election on Tuesday, November 3, 2026 has been called by Resolution 2026-062, adopted on June 8, 2026; and

WHEREAS, Resolution 2026-062 also requests the Board of Supervisors of San Mateo County to permit the county elections official to render specified services to the City relating to the conduct of an election, subject to the City reimbursing the county in full for the services performed upon presentation of a bill to the City, pursuant to Elections Code 10002; and

WHEREAS, the City Council has the authority under Elections Code Section 9222, Revenue and Taxation Code Section 7285.9, and Government Code Sections 53723 and 53724

to place a ballot measure before the voters to establish a local transaction and use tax (sales tax) for general municipal purposes; and

WHEREAS, the City Council also desires to submit to the voters at the election a question whether to establish a local transaction and use tax (sales tax) for general municipal purposes; and

WHEREAS, pursuant to Revenue and Taxation Code Sections 7251.1, the combined rate of all transaction and use taxes imposed by the City and county is capped at 2%, there is remaining capacity within the local transactions and use tax cap of one-half percent (0.5%), and the City is authorized to impose the tax contingent on voter approval; and

WHEREAS, the City seeks to adopt a local transactions and use tax rate of one-half percent (0.5%); and

WHEREAS, Article XIII C, Section 2(b) of the California Constitution requires that an election to approve a general tax measure be consolidated with a City Council election and such an election has been declared for November 3, 2026; and

WHEREAS, voter approval on November 3, 2026 to impose the sales tax would provide the City with financial certainty regarding the long-term viability of this revenue; and

WHEREAS, pursuant to Elections Code Section 10400, whenever two or more elections, including bond elections, of any legislative or congressional district, public district, city, county, or other political subdivision are called to be held on the same day, in the same territory, or in territory that is in part the same, they may be consolidated upon the order of the governing body or bodies or officer or officers calling the elections; and

WHEREAS, pursuant to Elections Code Section 10403, whenever an election called by a city for the submission of any question, proposition, or office to be filled is to be consolidated with a statewide election, and the question, proposition, or office to be filled is to appear upon the same ballot as that provided for that statewide election, the city shall, at least 88 days prior to the date of the election, file with the board of supervisors, and a copy with the elections official, a resolution of its governing board requesting the consolidation, setting forth the exact form of any question, proposition, or office to be voted upon at the election, as it is to appear on the ballot, and acknowledging that the consolidated election will be held and conducted in the manner prescribed in Elections Code Section 10418. Upon such request, the Board of Supervisors may order the consolidation. The resolution requesting the consolidation shall be adopted and filed at the same time as the adoption of the ordinance, resolution, or order calling the election.

NOW THEREFORE, BE IT RESOLVED THAT THE CITY COUNCIL OF THE CITY OF SAN CARLOS DOES HEREBY DETERMINE AS FOLLOWS:

1. Pursuant to California Constitution Article XIII C, Section 2(b), Government Code Sections 53723 and 53724, Revenue and Taxation Code Section 7285.9, and Elections Code Section 9222, the City Council hereby calls for an election at which it shall submit to the qualified voters of the city a measure, that if approved by the majority of voters voting in the election, would adopt and impose a transactions and use (sales) tax of 0.5% until March 31, 2041, unless extended by action of the voters prior to that date. The election shall be held in the city on November 3, 2026.

2. The City Council hereby approves the Ordinance authorizing the levying of the transactions and use tax for general purposes as set forth in Exhibit A attached hereto and its submittal to the qualified voters of the city during the November 3, 2026 election in accordance with Government Code Sections 53723, 53724(b) and Revenue and Taxation Code Section 7285.9. The Ordinance specifies that (i) the rate of the sales tax shall be one half percent (0.5%) of the gross receipts of any retailer from the sale of all tangible personal property sold at retail in the city, (ii) the rate of the sales tax shall be one half percent (0.5%) of the sales price of tangible personal property stored, used, or otherwise consumed in the city, (iii) that the tax shall be in effect for fourteen years, that is until March 31, 2041, unless extended by action of the voters prior to that date, and (iv) that upon the Operative Date of the Ordinance, the California Department of Tax and Fee Administration shall collect the tax from retailers that are subject to the tax and remit the funds to the City.

3. Pursuant to Elections Code Sections 10400 and 10403, the City Council hereby orders an election be called and consolidated with any and all elections also called to be held on November 3, 2026 within the same territory. Further, pursuant to Elections Code Section 10002, the City Council hereby requests the Board of Supervisors of the County of San Mateo to consolidate the election regarding the Ordinance with the November 3, 2026 general election and to permit the San Mateo County Elections Department to provide any and all services necessary for conducting an election regarding the Ordinance. The County of San Mateo and its staff are authorized and instructed to procure and furnish any and all official ballots, notices, printed matter and all supplies and equipment and other necessary items in order to properly and lawfully conduct the election; the County of San Mateo is authorized to canvass the returns of the election, which shall be held in all respects as if there were only one election, and only one form of ballot shall be used; and the City Council recognizes that additional cost will be incurred by the County of San Mateo by reason of the consolidation of the election regarding the Ordinance with the Statewide election and agrees to reimburse the County of San Mateo for any costs that are not reimbursed by the State, and the City Council hereby authorizes the City Manager to pay the County of San Mateo for said services in full. The City Council hereby acknowledges that the consolidated election will be held and conducted in the manner prescribed in Elections Code Section 10418

4. The City Council hereby orders the City Clerk and the San Mateo County Elections Department to submit the following question to the electorate at the November 3, 2026 election:

To provide funding for San Carlos city services, such as keeping local streets, sidewalks, storm drains, parks, and community facilities safe, clean, and well-maintained; fixing streets and potholes; relieving traffic congestion; repairing aging infrastructure; and supporting fire protection, paramedic, crime prevention, and 911 emergency response; shall City of San Carlos' ordinance establishing a one-half cent sales tax be adopted, providing \$6,000,000 annually for general government use for 14 years, with independent audits and all funds locally-controlled?	YES	
	NO	

5. The City Council authorizes the City Manager and City Attorney to make minor, non-substantive revisions to the ballot question, as deemed necessary by the County Elections Office, to facilitate administration of the election and compliance with applicable law, provided that such revisions do not materially change the purpose or substance of the ballot question.

6. The City Council hereby orders that the San Mateo County Elections Department print the full text of the Ordinance attached hereto as Exhibit A exactly as filed or indicated on the filed document in the voter information guide for the November 3, 2026 election.

7. The City Council hereby finds and determines that the transactions and use (sales) taxes imposed pursuant to the Ordinance is for general municipal purposes and accordingly the taxes shall be approved upon a majority vote of the qualified voters of the City of San Carlos voting in the election on the Ordinance.

8. **Notice of Election.** The City Council hereby directs the City Clerk to (i) publish a notice of elections and a synopsis of the measure as required by Elections Code Sections 12101 and 12111; (ii) file certified copies of this resolution, including the Ordinance, with the County of San Mateo and take other necessary actions to ensure the placement of the Ordinance on the November 3, 2026 ballot; and (iii) coordinate with the County of San Mateo and take all necessary actions to oversee and certify the November 3, 2026 election process as required by Elections Code.

9. **Primary Arguments.** In accordance with California Elections Code Section 9282, primary arguments in favor and against, not exceeding 300 words, shall be filed with the City Clerk no later than **5:00 p.m. on Tuesday, August 11, 2026**, signed, with the printed name(s) and signature(s) of the author(s) submitting it, or if submitted on behalf of an organization, the name of the organization, and the printed name and signature of at least one of its principal officers who is the author of the argument. The arguments shall be accompanied by the *Form of Statement to Be Filed By Author(s) of Argument*, which can be obtained from the Office of the City Clerk.

10. **Primary Argument Authors.** The City Council has decided not to have the Council or members of the Council submit a ballot argument on behalf of the Council in support of the Ordinance and to permit rebuttal argument, and as authorized by California Elections Code Section 9285.

11. **Impartial Analysis.** In accordance with California Elections Code Section 9280, the City Council directs the City Clerk to transmit a copy of the Ordinance to the City Attorney, who shall prepare an impartial analysis showing the effect of the Ordinance on the existing law and the operation of the Ordinance; the City Attorney's impartial analysis may not exceed 500 words and shall be filed with the City Clerk no later than **5:00 p.m. on Tuesday, August 18, 2026**.

12. **Rebuttal Arguments.** California Elections Code Section 9285 authorizes the City Council to adopt provisions for the filing of rebuttal arguments at municipal elections; accordingly, when the City Clerk has selected the argument for and against the Ordinance which will be printed and distributed to the voters, the City Clerk shall send a copy of the argument in favor of the Ordinance to the authors of the argument against, and a copy of the argument against to the authors of the argument in favor of the Ordinance immediately upon receiving the arguments. The authors may prepare and submit rebuttal arguments not exceeding 250 words or may authorize in writing any other person or persons to prepare, submit, or sign the rebuttal argument. The rebuttal arguments shall be filed no later than **5:00 p.m. on Tuesday, August 18, 2026**, accompanied by the printed names and signatures of the persons submitting it, or if submitted on behalf of an organization, the name of the organization, and the printed name and signature of at least one of its principal officers. The rebuttal arguments shall be accompanied by the *Form of Statement To Be Filed By Author(s) of Argument*, which can be obtained from the Office of the City Clerk.

Rebuttal arguments shall be printed in the same manner as the direct arguments, and rebuttal argument shall immediately follow the direct argument which it seeks to rebut.

13. **Rebuttal Arguments.** All previous resolutions providing for the filing of rebuttal arguments for city measures are hereby repealed and the provisions of this resolution providing for the filing of rebuttal arguments regarding the Ordinance shall only apply to the election to be held on November 3, 2026, and shall thereafter be repealed.

14. **CEQA.** For purposes of the California Environmental Quality Act (Public Resources Code Section 21000, et seq.), a "project" is defined in State CEQA Guidelines Section 15378 (a) as "the whole of an action, which has a potential for resulting in either a direct physical change in the environment, or a reasonably foreseeable indirect physical change in the environment". The City Council hereby finds that the proposed Ordinance will not result in any change in the environment and thus is not a project subject to the requirements of CEQA. Additionally, the proposed Ordinance involves the creation of a government funding mechanism which does not involve any commitment to any specific project which may result in a potentially significant impact on the environment and thus the City Council finds the proposed Ordinance is not a project subject to the requirements of CEQA pursuant to CEQA Guidelines Section 15378 (b)(4). Further, even if the adoption of this Ordinance was deemed to be a project subject to CEQA, the City Council finds the proposed Ordinance is exempt from CEQA under the common sense exemption set forth in Section 15061(b)(3), which provides that CEQA only applies to projects which have the potential for causing a significant effect on the environment, and thus where it can be seen with certainty that there is no possibility that the activity in question may have a significant effect on the environment, the activity is not subject to CEQA.

NOW, THEREFORE BE IT RESOLVED, that the San Carlos City Council hereby orders the submission to the qualified electors of the City of San Carlos the measure set forth in paragraph 4 herein relating to a local transaction and use tax at the General Municipal Election to be held on Tuesday, November 3, 2026.

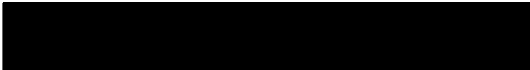
* * * * *

I, City Clerk Crystal Mui, hereby certify that the foregoing Resolution was duly and regularly passed and adopted by the City Council of the City of San Carlos at a scheduled meeting thereof held on the 22nd day of June 2026, by the following vote:

AYES, COUNCILMEMBERS: DUGAN, LAYTON, MCDOWELL, VENKATESH

NOES, COUNCILMEMBERS: NONE

ABSENT, COUNCILMEMBERS: RAK


CITY CLERK of the City of San Carlos

APPROVED:

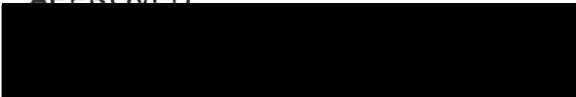

MAYOR of the City of San Carlos

Exhibit A – Ordinance – Full Text Measure

ORDINANCE NO. ____

**AN INITIATIVE ORDINANCE OF THE CITY OF SAN CARLOS
ADDING CHAPTER 3.18, TRANSACTIONS AND USE TAX, TO TITLE 3, REVENUE AND
FINANCE, OF THE CITY OF SAN CARLOS MUNICIPAL CODE.**

WHEREAS, the City of San Carlos ("City") is a local government that prides itself on providing quality services to its residents, businesses, and visitors; and

WHEREAS, the City responsibly manages public funds and maintains healthy reserves; and

WHEREAS, rising costs for goods, services, and maintenance are placing increasing pressure on the City's budget; and

WHEREAS, without a new local funding source, sustaining current service levels could be challenging; and

WHEREAS, the transactions and use tax to be submitted to the voters is a general tax that can be used for any legitimate governmental purpose; it is not a commitment to any particular actions or purposes, and the specific purposes recited in the ballot measure are non-restricted and non-exclusive examples only. The tax is a general tax and shall be approved if the measure receives at least a simple majority of affirmative votes; and

WHEREAS, at its June 22, 2026 meeting, the City Council adopted a Resolution submitting the question to the voters at the November 3, 2026 General Municipal Election relating to a sales tax measure.

NOW, THEREFORE, THE PEOPLE OF THE CITY OF SAN CARLOS DO ORDAIN AS FOLLOWS:

SECTION 1. Findings. The people of the City of San Carlos do hereby find that the above referenced recitals are true and correct and material to the adoption of this Ordinance.

SECTION 2: Effective Date. This Ordinance shall take effect as provided in §9217 of the Elections Code of the State of California.

SECTION 3: CEQA. This Ordinance is exempt from additional environmental review pursuant to California Environmental Quality Act ("CEQA") Guidelines Section 15061(b)(3); under the general rule that CEQA applies only to projects, which have the potential for causing a significant effect on the environment. Where it can be seen with certainty that there is no possibility that the activity in question may have a significant effect on the environment, the activity is not subject to CEQA.

SECTION 4: Severability. The City Council hereby declares that it would have passed this Ordinance sentence by sentence, paragraph by paragraph, and section by section, and does hereby declare that any provisions of this Ordinance are severable and if for any reason any

sentence, paragraph or section of this Ordinance shall be held invalid, such decision shall not affect the validity of the remaining parts of this Ordinance.

SECTION 5. The Mayor is hereby authorized to attest to the adoption of this Ordinance by the People voting thereon on November 3, 2026, by signing where indicated below.

* * * *

I hereby certify that the foregoing Ordinance was passed, approved and adopted by the People of the City of San Carlos on the 3rd day of November, 2026.

AYES, COUNCILMEMBERS: _____

NOES, COUNCILMEMBERS: _____

ABSENT, COUNCILMEMBERS: _____

Date: _____

MAYOR of the City of San Carlos

ATTEST:

CITY CLERK of the City of San Carlos

Exhibit A – San Carlos Municipal Code Chapter 3.18 Amendments

Exhibit A

Chapter 3.18, Transactions and Use Tax, Title 3, Revenue and Finance, is hereby added to the City of San Carlos Municipal Code to read as follows:

Chapter 3.18. Transactions and Use Tax

3.18.010. Imposition. A Transactions and Use Tax is hereby imposed as a general tax on the gross receipts of any retailer from the sale of all tangible personal property sold at retail in the city and upon the sales price of tangible personal property stored, used, or otherwise consumed in the city as further set forth below.

3.18.020. Operative Date. The transactions and use tax imposed herein shall be operative the first day of the first calendar quarter commencing more than 110 days after the adoption of this Ordinance. Based upon a November 3, 2026 election, the Operative Date for the transactions and use tax imposed hereunder shall be April 1, 2027.

3.18.030. Purpose. This Ordinance is adopted to achieve the following purposes, among others, and directs that the provisions hereof be interpreted in order to accomplish these purposes:

- A. To impose a transactions and use tax in accordance with the provisions of Part 1.6 (commencing with Section 7251) of Division 2 of the Revenue and Taxation Code and Section 7285.9 of Part 1.7 of Division 2, and which authorizes the City to adopt this tax Ordinance, which shall be operative if a majority of the electors voting on the measure approve the imposition of the tax at an election called for that purpose. The tax is a general tax whose proceeds shall be deposited in the City's general fund and expended for any lawful purpose of the City.
- B. To adopt a transaction and use tax that incorporates provisions identical to those of the Sales and Use Tax Law of the State of California insofar as those provisions are not inconsistent with the requirements and limitations contained in Part 1.6 of Division 2 of the Revenue and Taxation Code.
- C. To adopt a transactions and use tax that imposes a tax and provides a measure therefore that can be administered and collected by the California Department of Tax and Fee Administration in a manner that adapts itself as fully as practicable to, and requires the least possible deviation from, the existing statutory and administrative procedures followed by the California Department of Tax and Fee Administration in administering and collecting the California State Sales and Use Taxes.
- D. To adopt a transactions and use tax that can be administered in a manner that will be, to the greatest degree possible, consistent with the provisions of Part 1.6 of Division 2 of the Revenue and Taxation Code, minimize the cost of collecting the transactions and use taxes, and at the same time, minimize the burden of record keeping upon persons subject to taxation under the provisions of this Ordinance.

3.18.040. Contract with State. Prior to the Operative Date, the City shall contract with the California Department of Tax and Fee Administration to perform all functions incident to the

administration and operation of this transactions and use tax; provided, that if the City shall not have contracted with the California Department of Tax and Fee Administration prior to the operative date, it shall nevertheless so contract and in such a case the operative date shall be the first day of the first calendar quarter following the execution of such a contract.

3.18.050. Transactions Tax Rate. For the privilege of selling tangible personal property at retail, a tax is hereby imposed upon all retailers in the incorporated area of the City at the rate of one-half percent (0.5%) of the gross receipts of any retailer from the sale of all tangible personal property sold at retail in the City on and after the operative date of this Ordinance for a period of fourteen years, that is until March 31, 2041, unless extended by the voters.

3.18.060. Place of Sale. For the purposes of this Ordinance, all retail sales are consummated at the place of business of the retailer unless the tangible personal property sold is delivered by the retailer or his agent to an out-of-state destination or to a common carrier for delivery to an out-of-state destination. The gross receipts from such sales shall include delivery charges when such charges are subject to the state sales and use tax regardless of the place to which delivery is made. In the event a retailer has no permanent place of business in the state or has more than one place of business, the place or places at which the retail sales are consummated shall be determined under rules and regulations to be prescribed and adopted by the California Department of Tax and Fee Administration.

3.18.070. Use Tax Rate. An excise tax is hereby imposed on the storage, use, or other consumption in the city of tangible personal property purchased from any retailer on and after the operative date of this Ordinance for storage, use or other consumption in the city at the rate of one-half percent (0.5%) of the sales price of the property on and after the operative date of this Ordinance until said tax is repealed by a vote of the electorate of the City, and upon such event shall then be terminated. The sales price shall include delivery charges when such charges are subject to sales or use tax regardless of the place to which delivery is made.

3.18.080. Adoption of Provisions of State Law. Except as otherwise provided in this Chapter and except insofar as they are inconsistent with the provisions of Part 1.6 of Division 2 of the Revenue and Taxations Code, all of the provisions of Part 1 (commencing with Section 6001) of Division 2 of the Revenue and Taxations Code are hereby adopted by reference and made a part of this Ordinance as if fully set forth herein.

3.18.090. Limitations on Adoption of State Law and Collection of Use Taxes. In adopting the provisions of Part 1 of Division 2 of the Revenue and Taxations Code:

- A. Wherever the State of California is named or referred to as the taxing agency, the name of City shall be substituted therefore. However, the substitution shall not be made when:
1. The word "State" is used as a part of the title of the State Controller, State Treasurer, State Board of Control, State Board of Equalization, State Treasury, or the Constitution of the State of California.
 2. The result of that substitution would require action to be taken by or against the City or any agency, officer, or employee thereof rather than by or against

the State Board of Equalization, in performing the functions incident to the administration or operation of this Ordinance.

3. In those sections, including, but not necessarily limited to sections referring to the exterior boundaries of the State of California, where the result of the substitution would be to:
 - a. Provide an exemption from this tax with respect to certain sales, storage, use or other consumption of tangible personal property which would not otherwise be exempt from this tax while such sales, storage, use or other consumption remain subject to the tax by the State under the provisions of Part 1 of Division 2 of the Revenue and Taxation Code; or
 - b. Impose this tax with respect to certain sales, storage, use or other consumption of tangible personal property which would not be subject to tax by the state under the said provision of that code.
 4. In sections 6701, 6702 (except in the last sentence thereof), 6711, 6715, 6737, 6797, or 6828 of the Revenue and Taxation Code.
- B. The word "City" shall be substituted for the word "State" in the phrase "retailer engaged in business in this State" in Section 6203 and in the definition of that phrase in Section 6203.

3.18.100. Permit Not Required. If a seller's permit has been issued to a retailer under Section 6067 of the Revenue and Taxation Code, an additional transactor's permit shall not be required by this Section.

3.18.110. Exemptions and Exclusions.

- A. There shall be excluded from the transactions tax and the use tax the amount of any sales tax or use tax imposed by the State of California or by any city, city and county, or county pursuant to the Bradley-Burns Uniform Local Sales and Use Tax Law or the amount of any state-administered transactions or use tax.
- B. There are exempted from the computation of the amount of transactions tax the gross receipts from:
 1. Sales of tangible personal property, other than fuel or petroleum productions, to operators of aircraft to be used or consumed principally outside the county in which the sale is made and directly and exclusively in the use of such aircraft as common carriers of persons or property under the authority of the laws of this State, the United States, or any foreign government.
 2. Sales of property to be used outside the City which is shipped to a point outside the City, pursuant to the contract of sale, by delivery to such point by the retailer or his agent, or by delivery by the retailer to a carrier for shipment to a consignee at such point. For the purposes of this paragraph, delivery to a point outside the City shall be satisfied:
 - a. With respect to vehicles (other than commercial vehicles) subject to registration pursuant to Chapter 1 (commencing with section 4000) of Division 3 of the Vehicle Code, aircraft licensed in compliance with section 21411 of the Public Utilities Code, and undocumented

vessels registered under Division 3.5 (commencing with section 9840) of the Vehicle Code by registration to an out-of-City address and by a declaration under penalty of perjury, signed by the buyer, stating that such address is, in fact, his or her principal place of residence; and

b. With respect to commercial vehicles, by registration to a place of business out-of-City and declaration under penalty of perjury, signed by the buyer, that the vehicle will be operated from that address.

3. The sale of tangible personal property if the seller is obligated to furnish the property for a fixed price pursuant to a contract entered into prior to the operative date of this Ordinance.
4. A lease of tangible personal property which is a continuing sale of such property, for any period of time for which the lessor is obligated to lease the property for an amount fixed by the lease prior to the operative date of this Ordinance.
5. For the purposes of subparagraphs (3) and (4) of this section, the sale or lease of tangible personal property shall be deemed not to be obligated pursuant to a contract or lease for any period of time for which any party to the contract or lease has the unconditional right to terminate the contract or lease upon notice, whether or not such right is exercised.

C. There are exempted from the use tax imposed by this Ordinance the storage, use, or other consumption in this City of tangible personal property:

1. The gross receipts from the sale of which have been subject to a transactions tax under any state-administered transactions and use tax Ordinance.
2. Other than fuel or petroleum products purchased by operators of aircraft and used or consumed by such operators directly and exclusively in the use of such aircraft as common carriers of persons or property for hire or compensation under a certificate of public convenience and necessity issued pursuant to the laws of this State, the United States, or any foreign government. This exemption is in addition to the exemptions provided in Sections 6366 and 6366.1 of the Revenue and Taxations Code.
3. If the purchaser is obligated to purchase the property for a fixed price pursuant to a contract entered into prior to the operative date of this Ordinance.
4. If the possession of, or the exercise of any right or power over the tangible personal property arises under a lease which is a continuing purchase of such property for any period of time for which the lessee is obligated to lease the property for an amount fixed by a lease prior to the operative date of this Ordinance.
5. For the purposes of subparagraphs (3) and (4) of this section, storage, use, or other consumption, or possession of or exercise of any right or power over, tangible personal property shall be deemed not to be obligated pursuant to a contract or lease for any period of time for which any party to the contract or lease has the unconditional right to terminate the contract or lease upon notice, whether or not such right is exercised.

6. Except as provided in Subparagraph (7), a retailer engaged in business in the city shall not be required to collect use tax from the purchaser of tangible personal property, unless the retailer ships or delivers the property into the city or participates within the city in making the sale of the property, including, but not limited to, soliciting or receiving the order, either directly or indirectly, at a place of business of the retailer in the city or through any representative, agent, canvasser, solicitor, subsidiary, or person in the city under the authority of the retailer.
 7. "A retailer engaged in business in the city" shall also include any retailer of any of the following: vehicles subject to registration pursuant to Chapter 1 (commencing with Section 4000) of Division 3 of the Vehicle Code, aircraft licensed in compliance with section 21411 of the Public Utilities Code, or undocumented vessels registered under Division 3.5 (commencing with Section 9840) of the Vehicle Code. That retailer shall be required to collect use tax from any purchaser who registers or licenses the vehicle, vessel, or aircraft at an address in the city.
- D. Any person subject to use tax under this Ordinance may credit against that tax any transactions tax or reimbursement for transactions tax paid to a district imposing, or retailer liable for a transactions tax pursuant to Part 1.6 of Division 2 of the Revenue and Taxation Code with respect to the person of the property the storage, use or other consumption of which is subject to the use tax.

3.18.120. Amendments. All amendments subsequent to the effective date of this Chapter to Part 1 of Division 2 of the Revenue and Taxation Code relating to sales and use taxes and which are not inconsistent with Part 1.6 and Part 1.7 of Division 2 of the Revenue and Taxation Code, and all amendments to Part 1.6 and Part 1.7 of Division 2 of the Revenue and Taxation Code shall automatically become a part of this Chapter, provided however, that no such amendment shall operate so as to affect the rate of tax imposed by this Chapter.

3.18.130. Enjoining Collection Forbidden. No injunction or writ of mandate or other legal or equitable process shall issue in any suit, action or proceeding in any court against the state or the City, or against any officer of the state or the City, to prevent or enjoin the collection under this Ordinance, or Part 1.6 of Division 2 of the Revenue and Taxation Code of any tax or any amount of tax required to be collected.

3.18.140. Annual Audit and Public Report. Annually the City Council retains an independent auditor to conduct an audit of and provide audited financial statements for all of the City's financial activities. The auditor shall include an accounting of the revenue received from the tax and expenditures thereof in the audited financial statements. The auditors' report shall be presented to the Council and made available to the public. Additionally, the City Administrator shall annually prepare and present to the Council and the public a report in conjunction with the audit that reviews the status and performance of the programs and services funded wholly or partially with proceeds of the tax.

3.18.150. Termination Date. The authority to levy the taxes imposed by this Ordinance shall terminate and be of no further force or effect on March 31, 2041, unless extended by action of the voters prior to that date.